

Chapter One

Introduction to Accounting and Financial Reporting for Government and Not-for-Profit Entities



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Learning Objectives

After studying this chapter, you should be able to:

- [1-1](#) Identify and explain the characteristics that distinguish government and not-for-profit entities from for-profit entities.
- [1-2](#) Identify the authoritative bodies responsible for setting financial reporting standards for (1) state and local governments, (2) the federal government, and (3) not-for-profit organizations.
- [1-3](#) Contrast and compare the objectives of financial reporting for (1) state and local governments, (2) the federal government, and (3) not-for-profit organizations.
- [1-4](#) Explain the minimum requirements for general purpose external financial reporting for state and local governments and how they relate to comprehensive annual financial reports.
- [1-5](#) Identify and describe the required financial statements for the federal government.
- [1-6](#) Identify and describe the required financial statements for not-for-profit organizations.

WELCOME TO GOVERNMENT AND NOT-FOR-PROFIT ACCOUNTING

Welcome to the new world of accounting for government and not-for-profit organizations! Initially, you will likely find it challenging to understand the many new terms and concepts introduced. Additionally, if you are like most readers, you will question at the outset why government and not-for-profit organizations use accounting and financial reporting practices that are different from those used by for-profit entities.

As you read this first chapter of the text, the reasons for the differences between government and not-for-profit accounting and for-profit accounting should become apparent. Specifically, government and not-for-profit organizations serve entirely different purposes in society than do business entities. Because such organizations are largely financed by taxpayers, donors, and others who do not expect benefits proportional to the resources they provide, management has a special duty to be accountable for how resources are used in providing services. Thus, the need for managers to be accountable to citizens, creditors, oversight bodies, and others has played a central role in shaping the accounting and reporting practices of government and not-for-profit organizations.

This first chapter will give you a basic conceptual understanding of the unique characteristics of government and

not-for-profit organizations and how their accounting and financial reporting concepts and practices differ from those of for-profit organizations. By the time you finish subsequent chapters assigned for your course, you should have an in-depth practical knowledge of government and not-for-profit accounting and financial reporting.

DISTINGUISHING GOVERNMENT AND NOT-FOR-PROFIT ORGANIZATIONS

LO 1-1

Identify and explain the characteristics that distinguish government and not-for-profit entities from for-profit entities.

What Are Government and Not-for-Profit Organizations?

Government and not-for-profit organizations are vast in number and range of services provided. In the United States, governments exist at the federal, state, and local levels and serve a wide variety of functions. The most recent census of governments reports that there are 90,056 local governments, in addition to the federal government and 50 state governments. These 90,056 local governments consist of 3,031 counties, 19,519 municipalities, 16,360 towns and townships, 12,880 independent school districts, and 38,266 other special district governments that derive their power from state governments.¹

States, counties, municipalities (for example, cities, towns, and villages), and townships are [general purpose governments](#)—governments that provide a wide range of services to their residents (such as police and fire protection; sanitation; construction and maintenance of streets, roads, and bridges; and culture and recreation). Independent school districts, public colleges and universities, and special districts are [special purpose governments](#)—governments that provide only a single function or a limited number of functions (such as education, drainage and flood control, irrigation, soil and water conservation, fire protection, and water supply). Similar to general purpose governments, special purpose governments are provided the power by state laws to levy and collect taxes and to raise revenues from nontax sources to finance the services they provide.

Not-for-profit organizations also exist in many forms and serve many different functions in society. These include private colleges and universities, various kinds of community service and health care organizations, certain libraries and museums, professional and trade associations, fraternal and social organizations, and religious organizations. According to the NCCS Business Master file of April 2016, as of 2014 there are nearly 1.6 million not-for-profit organizations receiving tax-exempt status in the United States.²

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Distinguishing Characteristics of Government and Not-for-Profit Organizations

Government and not-for-profit organizations differ in important ways from business organizations. An understanding of how these organizations differ from business organizations is essential to understanding the unique accounting and financial reporting principles that have evolved for government and not-for-profit organizations.

In its *Statement of Financial Accounting Concepts No. 4*, the [Financial Accounting Standards Board \(FASB\)](#) noted the following characteristics that it felt distinguished government and not-for-profit organizations from business organizations:

- a. Receipts of significant amounts of resources from resource providers who do not expect to receive either repayment or economic benefits proportionate to the resources provided.
- b. Operating purposes that are other than to provide goods or services at a profit or profit equivalent.
- c. Absence of defined ownership interests that can be sold, transferred, or redeemed or that convey entitlement to a share of a residual distribution of resources in the event of liquidation of the organization.³

The [Governmental Accounting Standards Board \(GASB\)](#) distinguishes government entities in the United States from both not-for-profit and business entities by stressing that governments exist in an environment in which the power ultimately rests in the hands of the people. Voters delegate that power to public officials through the election process. The power is divided among the executive, legislative, and judicial branches of the government, so that the actions, financial and otherwise, of government executives are constrained by legislative actions, and executive and legislative actions are subject to judicial review. Further constraints are imposed on state and local governments by the federal government. In the United States, higher levels of government encourage or dictate activities of lower-

level governments. Higher levels of government partially or wholly finance some activities using an extensive system of intergovernmental grants and subsidies that require the lower levels to be accountable to the entity providing the resources, as well as to the citizenry.

Revenues raised by each level of government come, ultimately, from taxpayers. Taxpayers are involuntary contributors of revenue to governments, which effectively have monopoly power in most instances. As involuntary contributors of revenue, taxpayers often have little choice over the level of services they receive. The lack of a competitive market and the disconnect between the revenues provided by taxpayers and the cost for the level of service received means that unlike for-profit organizations, a “net income” figure cannot be used to assess government performance. Because there is no one “net income” figure that can be used to assess overall government efficiency and effectiveness, there is a great need for public accountability in financial reporting.⁴

SOURCES OF FINANCIAL REPORTING STANDARDS

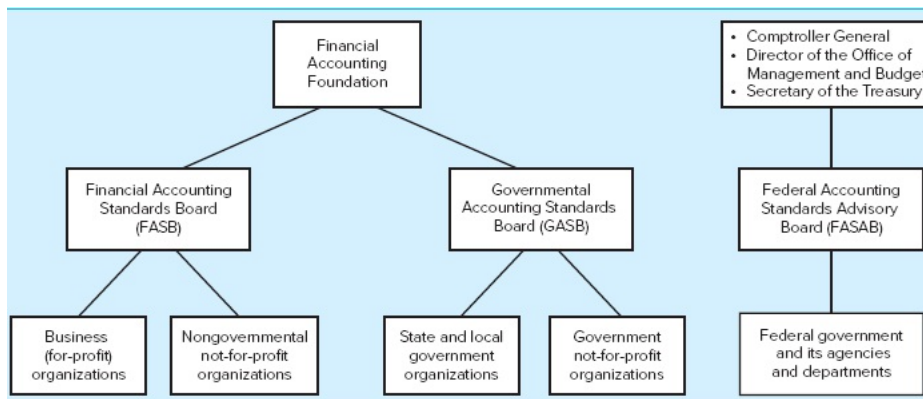
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LO 1-2

Identify the authoritative bodies responsible for setting financial reporting standards for (1) state and local governments, (2) the federal government, and (3) not-for-profit organizations.

As shown in [Illustration 1–1](#), Rule 203 of the American Institute of Certified Public Accountants (AICPA) Code of Professional Conduct formally designates the GASB, FASB, and FASAB as the authoritative bodies to establish [generally accepted accounting principles \(GAAP\)](#) for state and local governments, nongovernmental not-for-profit organizations, and the federal government, respectively. In practice, the “authority to establish accounting principles” means the “authority to establish accounting and financial reporting standards.”

ILLUSTRATION 1–1 Primary Sources of Accounting and Financial Reporting Standards for Businesses, Governments, and Not-for-Profit Organizations



Authority to establish accounting and reporting standards for not-for-profit organizations is split between the FASB and the GASB because a sizable number of not-for-profit organizations are governmental in nature, particularly public colleges and universities and government hospitals. Governmental not-for-profit organizations follow standards established by the GASB. The FASB is responsible for setting accounting and reporting standards for not-for-profit organizations that are independent of governments.

The GASB and the FASB are parallel bodies under the oversight of the Financial Accounting Foundation, which appoints the members of the two boards and supports the boards’ operations. The federal Sarbanes-Oxley Act mandates an assessed fee on corporate security offerings to support the FASB, while the Dodd-Frank Wall Street Reform and Consumer Protection Act (2010) required the establishment of an accounting support fee to fund the GASB. In February 2012 the Financial Industry Regulatory Authority (FINRA) established such a fee.⁵ The fee is collected from each firm that reports municipal securities trades to the Municipal Securities Rule-Making Board.

Because of the method of support and the lack of ties to any single organization or government, the GASB and the FASB are referred to as “independent standards-setting boards in the private sector.” Before the creation of the GASB and the FASB, financial reporting standards were set by groups sponsored by professional organizations: The forerunners of the GASB (formed in 1984) were the National Council on Governmental Accounting (1973–84), the National Committee on Governmental Accounting (1948–73), and the National

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Committee on Municipal Accounting (1934–41). The forerunners of the FASB (formed in 1973) were the Accounting Principles Board (1959–73) and the Committee on Accounting Procedure (1938–59) of the American Institute of Certified Public Accountants.

Federal statutes assign responsibility for establishing and maintaining a sound financial structure for the federal government to three officials: the Comptroller General, the Director of the Office of Management and Budget, and the Secretary of the Treasury. In 1990, these three officials created the [Federal Accounting Standards Advisory Board \(FASAB\)](#) to recommend accounting principles and standards for the federal government and its agencies. It is understood that, to the maximum extent possible, federal accounting and financial reporting standards should be consistent with those established by the GASB and, where applicable, by the FASB.

OBJECTIVES OF FINANCIAL REPORTING

LO 1-3

Contrast and compare the objectives of financial reporting for (1) state and local governments, (2) the federal government, and (3) not-for-profit organizations.

As indicated earlier, due to the nature of government, there is a great need for public accountability. The need for public accountability led the GASB to state that “[Accountability](#) is the cornerstone of all financial reporting in government.”⁶ Accountability requires governments to justify the raising and use of public resources, such as taxes. Government financial reports can provide citizens with the information needed to help with the public debate about the sources and uses of public resources.

[Illustration 1–2](#) shows several ways that state and local government financial reporting is used in making economic, social, and political decisions and assessing accountability. Closely related to the concept of accountability as the cornerstone of government financial reporting is the concept the GASB refers to as interperiod equity. [Interperiod equity](#) can most simply be defined as ensuring that the government “lives within its means.” The GASB believes that interperiod equity is an important part of government accountability.⁷ As such, financial reporting should provide information that assists users in evaluating whether the current period’s resources are sufficient to support the current period’s services. When the cost of the current period services is greater than the resources available, the excess costs become the burden of future taxpayers who have not received the benefit of the services.

ILLUSTRATION 1–2 Comparison of Financial Reporting Objectives—State and Local Governments, Federal Government, and Not-for-Profit Organizations

State and Local Governments ^a	Federal Government ^b	Not-for-Profit Organizations ^c
Financial reporting is used in making economic, social, and political decisions and in assessing accountability primarily by	Financial reporting should help to achieve accountability and is intended to assist report users in evaluating	Financial reporting should provide information useful in
• Comparing actual financial results with the legally adopted budget. • Assessing financial condition and results of operations. • Assisting in determining compliance with finance-related laws, rules, and regulations. • Assisting in evaluating efficiency and effectiveness.	• Budgetary integrity. • Operating performance. • Stewardship. • Adequacy of systems and controls.	• Making resource allocation decisions. • Assessing services and ability to provide services. • Assessing management stewardship and performance. • Assessing economic resources, obligations, net resources, and changes in them.

^a) Source: GASB, *Concepts Statement No. 1*, par. 32.

^b) Source: FASAB, *Statement of Federal Accounting Concepts No. 1*, par. 134.

^c) Source: FASB, *Concepts Statement No. 4*, pars. 33–42.

Accountability is also the foundation for the financial reporting objectives the FASAB has established for the federal government. The FASAB’s *Statement of Accounting and Reporting Concepts Statement No. 1* identifies four objectives of federal financial reporting (see [Illustration 1–2](#)) focused on evaluating budgetary integrity, operating performance, stewardship, and adequacy of systems and controls. Budgetary integrity relates to being publicly accountable for complying with laws and regulations related to the raising and spending of taxes and other resources received by the federal government during a fiscal year. Financial reporting also should help users assess the operating performance of the federal government. In addition to information on the cost of

providing services, it is important to be able to evaluate the efficiency and effectiveness with which the government is managing its assets and liabilities. Stewardship relates to providing information on the financial position of the government. Financial reporting should assist in evaluating the government's operating performance and its investments for the period to determine whether the financial condition of the federal government has improved or deteriorated. Finally, federal financial reporting should help users in determining whether adequate internal and administrative control systems are in place.

Unlike the FASB and the GASB, which focus their standards on *external* financial reporting, the FASAB and its sponsors in the federal government are concerned with *both* internal and external financial reporting. Accordingly, the FASAB has identified four major groups of users of federal financial reports: citizens, Congress, executives, and program managers. Given the broad role the FASAB has been assigned, its standards focus on cost accounting and performance measures, as well as on financial accounting and reporting.

Financial reports of not-for-profit organizations—voluntary health and welfare organizations, private colleges and universities, private health care institutions, religious organizations, and others—have similar uses. However, as [Illustration 1–2](#) shows, the reporting objectives for not-for-profit organizations emphasize decision usefulness over financial accountability needs. The FASB *Statement of Financial Accounting Concepts No. 4* indicates that not-for-profit and business enterprises are similar in many ways, thus the emphasis on decision usefulness in assisting users with decisions regarding the allocation of scarce resources to a not-for-profit's objectives. A significant component of the decision on where to allocate scarce resources is the services the not-for-profit organization provides and its ability to continue to provide those services. To ensure ongoing service, resource providers and others are interested in management's stewardship, that is, its custody and safekeeping of the not-for-profit's assets and their efficient and effective use.

Note that the objectives of financial reporting for governments and not-for-profit organizations stress the need for the public to understand and evaluate the financial activities and management of these organizations. Readers will recognize the impact on their lives, and on their bank accounts, of the activities of the layers of government they are obligated to support and of the not-for-profit organizations they voluntarily support. Because each of us is significantly affected by government and not-for-profit organizations, it is important that we be able to read intelligently the financial reports of these organizations. In order to make informed decisions as citizens, taxpayers, creditors, and donors, readers should make the effort to learn the accounting and financial reporting standards developed by the authoritative bodies. The standards are further explained and illustrated throughout the remainder of the text.

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OVERVIEW OF FINANCIAL REPORTING FOR STATE AND LOCAL GOVERNMENTS, THE FEDERAL GOVERNMENT, AND NOT-FOR-PROFIT ORGANIZATIONS

Financial Reporting of State and Local Governments

LO 1-4

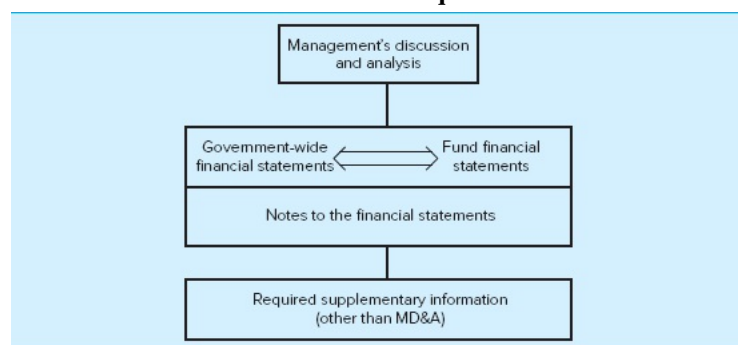
Explain the minimum requirements for general purpose external financial reporting for state and local governments and how they relate to comprehensive annual financial reports.

Like the FASB, the GASB continues to develop concepts statements that communicate the framework within which the Board strives to establish consistent financial reporting standards for entities within its jurisdiction. The GASB, as well as the FASB, is concerned with establishing standards for financial reporting to *external* users—those who lack the authority to prescribe the information they want and who must rely on the information management communicates to them. The Board does not intend to set standards for reporting to managers and administrators or others deemed to have the ability to enforce their demands for information.

General Purpose External Financial Reporting

[Illustration 1–3](#) displays the minimum requirements for general purpose external financial reporting under the government financial reporting model specified by the GASB.⁸ Central to the model is the [management's discussion and analysis \(MD&A\)](#). The MD&A is [required supplementary information \(RSI\)](#) designed to communicate in narrative, easily readable form the purpose of the basic financial statements and the government's current financial position and results of financial activities compared with those of the prior year.

ILLUSTRATION 1-3 Minimum Requirements for General Purpose External Financial Reporting



Source: GASB Codification, Sec. 2200.103.

As shown in [Illustration 1-3](#), the GASB prescribes two categories of [basic financial statements](#): government-wide and fund. [Government-wide financial statements](#) are intended to provide an aggregated overview of a government's net position and changes in net position. You will notice that the GASB uses the term *net position* rather than the FASB term *net assets*; however, the terms are substantially the same. The government-wide financial statements report on the government as a whole and assist in assessing [operational accountability](#)—whether the government has used its resources efficiently and effectively in meeting operating objectives. The GASB concluded that reporting on operational accountability is best achieved by using essentially the same basis of accounting and measurement focus used by business organizations: the accrual basis and flow of economic resources measurement focus.

[Fund financial statements](#), the other category of basic financial statements, provide more detailed financial information about the government. Certain funds, referred to as *governmental funds*, focus on the short-term flow of current financial resources rather than on the flow of economic resources.⁹ The focus on current financial resources makes it easier for users assessing [fiscal accountability](#), which relates to ensuring the government is complying with the public's decisions concerning the raising and spending of resources generally within a budgetary period of one year. Because of the short-term focus, governmental funds use a modified accrual basis of accounting rather than the accrual basis. Under [modified accrual](#), revenues are recognized in the period they are measurable and available for spending and expenditures (not expenses) are recognized when they create an obligation to be paid from current financial resources. The characteristics and roles of the government-wide and fund financial statements are summarized in [Illustration 1-4](#).

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ILLUSTRATION 1-4 Dual Roles of Government Financial Statements in Assessing Accountability

	Operational Accountability	Fiscal Accountability
Statements	Government-wide financial statements (governmental and business-type activities) and those of proprietary funds and fiduciary funds	Governmental fund financial statements
Measurement focus	Flow of economic resources	Flow of current financial resources
Basis of accounting	Accrual basis (revenues and expenses are recognized when exchange of economic resources occurs or per GASB recognition rules for nonexchange transactions, such as taxes, contributions, and grants)	Modified accrual basis (revenues are recognized when resources are measurable and available for current spending; <i>expenditures</i> are recognized when an obligation to spend current financial resources is incurred)

Other funds, referred to as *proprietary* and *fiduciary funds*, account for the business-type and certain fiduciary (trust and custodial) activities of the government. These funds follow accounting and reporting principles similar to those of business organizations.

As shown in [Illustration 1-3](#), the notes to the financial statements are considered integral to the financial statements. In addition, governments are required to disclose certain RSI other than MD&A. These additional information disclosures are discussed in several of the following chapters.

Comprehensive Annual Financial Report

Serious users of government financial information need more detail than is found in the MD&A, basic financial statements, and RSI (other than MD&A). For state and local governments, much of that detail is found in the

government's [comprehensive annual financial report \(CAFR\)](#). Although governments are not required to prepare a CAFR, most do so as a matter of public record and to provide additional financial details beyond the minimum requirements shown in [Illustration 1–3](#). As such, the GASB provides standards for the content of a CAFR in its annually updated publication *Codification of Governmental Accounting and Financial Reporting Standards*. Page 9
A CAFR prepared in conformity with these standards should contain the following sections.¹⁰

Introductory Section¹¹

The introductory section typically includes items such as a title page and contents page, a letter of transmittal, a description of the government, and other items deemed appropriate by management. The letter of transmittal may be literally that—a letter from the chief financial officer addressed to the chief executive and governing body of the government—or it may be a narrative over the signature of the chief executive. In either event, the letter or narrative material should cite legal and policy requirements for the report.

Financial Section

The financial section of a comprehensive annual financial report should include (1) an auditor's report, (2) management's discussion and analysis (MD&A), (3) basic financial statements and related notes, (4) required supplementary information (other than MD&A), and (5) other supplementary information, such as combining statements and individual fund statements and schedules. Items (2), (3), and (4) represent the minimum requirements for general purpose external financial reporting, as depicted in [Illustration 1–3](#). As you will recognize, a CAFR provides additional supplementary financial information beyond the minimum amount required by generally accepted accounting principles.

Laws regarding the audit of governments vary from state to state. Some states have laws requiring that all state agencies and all local governments be audited by an audit agency of the state government. In most states, however, local governments are audited by independent public accounting firms. In still other states, some local governments are audited by the state audit agency and some by independent public accounting firms. In any event, the auditor's opinion should accompany the financial statements reproduced in the report.

The financial section should contain sufficient information to disclose fully and present fairly the financial position and results of financial operations during the fiscal year. Laws of higher jurisdictions, actions of the legislative branch of the government itself, and agreements with creditors and others impose constraints over governments' financial activities and create unique financial accountability requirements. Page 10

Statistical Section

In addition to the introductory and financial sections of the CAFR, which were just described, a CAFR should contain a statistical section. The statistical section typically presents tables and charts showing demographic and economic data, financial trends, fiscal capacity, and operating information of the government in the detail needed by readers who are more than casually interested in the activities of the government. The GASB *Codification* requires a specific set of statistical tables for inclusion in a CAFR. The statistical section is discussed at greater length in [Chapter 9](#) of this text.

Financial Reporting of the Federal Government

LO 1-5

Identify and describe the required financial statements for the federal government.

U.S. Government-wide Financial Reporting

For more than a decade, the Department of the Treasury has prepared a prototype financial report for the U.S. government as a whole.¹² The financial report includes a “plain language” *Citizen's Guide*, a management's discussion and analysis (MD&A), several financial statements,¹³ and supplemental information that reports on both the government's budget and proprietary financial activities, as well as reconciliation of the two. Of particular interest is a statement of social insurance (e.g., Social Security and Medicare, among other commitments) that

reflects an excess of the present value of future actuarial expenditures over revenues at the end of fiscal year 2016 of more than \$46.7 trillion.

Although the federal government's consolidated financial statements are audited, readers may be shocked to learn that despite the enormous dollar amounts involved, the U.S. Comptroller General has never been able to issue an unmodified audit opinion on the federal government's consolidated financial statements. In general, serious internal control over financial reporting, financial management problems at the Department of Defense, reconciliation issues, and ineffective processes for preparing the consolidated financial statements are cited for the Comptroller General's continuing disclaimer of opinion. These deficiencies are explained in greater detail in [Chapter 17](#).

Federal Department and Agency Financial Reporting

The federal Office of Management and Budget's (OMB) *Circular A-136* requires major federal departments and agencies to prepare a **performance and accountability report (PAR)** that includes an annual performance report (APR), annual financial statements, and a variety of management reports on internal control and other accountability issues. A PAR is intended to increase accountability by providing both financial and performance information that helps users in assessing how well an agency of the federal government is carrying out its mission. There are four sections in a PAR:

1. An MD&A, which serves as a brief overview of the entire PAR and clearly describes the department or agency's mission and organizational structure; its performance goals, objectives, and results; analysis of its financial statements; and analysis of information about internal controls and legal compliance.
2. Performance information. The APR provides information about the agency's performance and progress in achieving its performance goals.
3. Basic financial statements. These include a balance sheet, statement of net cost (essentially an operating statement format that is presented with expenses reported before revenues; that is, program costs minus earned revenues results in net cost), statement of changes in net position (similar to changes in owners' equity in business accounting), statement of budgetary resources, statement of custodial activity, and statement of social insurance.
4. Other accompanying information, such as perspectives on the tax burden, size of the tax gap, challenges facing management, and revenue forgone.

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Federal government financial reporting places a strong emphasis on management's performance, in addition to the reporting of financial information. [Chapter 17](#) explains federal department and agency financial reporting requirements in much greater detail and provides examples of each financial statement.

Financial Reporting of Not-for-Profit Organizations (NFPs)

LO 1-6

Identify and describe the required financial statements for not-for-profit organizations.

Most NFPs are nongovernmental in nature and, therefore, follow FASB accounting and financial reporting standards. The primary purpose of NFP financial statements is to provide decision-useful financial information to external users, principally resource providers such as donors, members, and creditors, among others. Resource providers have in common the need to assess (1) the services provided by an NFP and the ability of the NFP to continue to provide those services and (2) management's performance and stewardship of resources.¹⁴ To meet these reporting needs, FASB standards require NFPs to prepare a set of organizationwide financial statements that include a statement of financial position (balance sheet), a statement of activities (income statement), and a statement of cash flows.¹⁵ In addition, NFPs are required to provide information showing the relationship between functional expenses and natural expense classifications such as personnel, travel, and supplies. This information can be provided in one of three ways: (1) on the statement of activities, (2) in a schedule in the notes to the financial statements, or (3) as a separate financial statement.¹⁶ [Chapter 14](#) provides examples of all these statements.

Many NFPs depend heavily on donor contributions to finance their operations. Donors often impose restrictions on the use of contributions, such as specifying that their contribution be used for a particular purpose or in a particular time period. [Donor-imposed restrictions](#) may be temporary or, in the case of certain endowments, permanent. Permanent endowments require the NFP to maintain the principal amount of the contribution in

perpetuity but permit the use of earnings on invested principal, either without restriction or for a particular restricted purpose.

FASB standards recognize the essential need for management to demonstrate accountability for donor-restricted resources. Specifically, the standards require that an NFP's statement of financial position report net assets (the excess of total assets over total liabilities) in two categories: net assets with donor restrictions and net assets without donor restrictions.¹⁷ The statement of activities reports increases and decreases in each of the two categories of net assets.

In addition, it is important that an NFP's statement of activities report expenses incurred for direct support of programs separately from support activities, which are titled management and general expenses and fund-raising costs. Reporting expenses in this way is an important aspect of accountability because it allows donors, oversight bodies, and others to calculate what percentage of total expenses is being incurred for program purposes, rather than for overhead and fund-raising. Would you want to contribute to an NFP that spent more for administrative support and fund-raising than for its core mission?

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Similar to for-profit entities, the FASB allows NFPs to prepare the statement of cash flows using the direct or indirect method. However, the FASB does not require NFP organizations using the indirect method to prepare the reconciliation section of the statement.

NFP organizations' need for audited financial statements varies as a result of state regulations, creditor requirements, and grantor requirements. If an NFP organization expends federal grant funds that exceed a certain threshold, it is subject to the same federal audit requirements as would be required for state and local governments.

As with state and local government and federal government financial reporting, a complete discussion of NFP financial reporting is deferred to later chapters of the text. [Chapters 13](#) through [16](#) will provide you with a more comprehensive understanding of NFP accounting and financial reporting, for both nongovernmental and governmental NFPs.

EXPANDING THE SCOPE OF ACCOUNTABILITY REPORTING

Some governments publish highly condensed popular reports. These reports usually contain selected data from the audited financial statements, statistical data, graphic displays, and narrative explanations, but the reports themselves are not audited. Additional information on popular reporting is provided in [Chapter 9](#). In addition, many state and local governments have begun to identify and report nonfinancial performance measures. For nearly 20 years, the GASB has encouraged state and local governments to experiment with reporting [service efforts and accomplishments \(SEA\)](#) measures to provide more complete information about a government's performance than can be provided by basic financial statements, budgetary comparison schedules, and other required or supplementary schedules. Indicators of service efforts include inputs of nonmonetary resources as well as inputs of dollars. Indicators of service accomplishments include both outputs and outcomes; outputs are quantitative measures of work done, such as the number of juvenile cases handled, and outcomes are the impacts of outputs on program objectives, such as a reduction in the high school dropout rate or incidence of juvenile crime. [Chapter 12](#) provides additional discussion of SEA measures.

The FASB also recognizes that SEA measures can provide valuable information to NFP resource providers because performance cannot generally be measured by the organization's profits and the resource providers are frequently not the beneficiaries of the NFP's goods or services.¹⁸ However, due to the fact that no standardized method of measuring and reporting service accomplishments exists, the FASB does not include it as part of the financial reporting requirements, but similar to the GASB, it encourages the provision of such information in addition to the information provided by financial reports.

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OVERVIEW OF CHAPTERS 2 THROUGH 17

GASB Principles, Standards, and Financial Reporting

Part I of the text ([Chapters 2–9](#)) focuses on state and local governments. The principles that underlie GASB accounting and reporting standards are presented in [Chapter 2](#). [Chapters 3](#) through [8](#) provide detailed illustrations of the effect of financial transactions on the funds and government-wide statements. Financial reporting for state and local governments is described in detail in [Chapter 9](#).

Accountability for Public Funds

Part II of the text includes three chapters that describe ways that public financial managers provide accountability over funds entrusted to them. [Chapter 10](#) provides information on how to analyze the financial performance of state and local governments based on financial and other information. Auditing techniques designed to assure the public that funds are properly recognized and spent efficiently and effectively are described in [Chapter 11](#), with special attention devoted to areas of auditing that are unique to federal funds, such as single audits. [Chapter 12](#) covers tools important to managers in demonstrating accountability for funds, such as budgeting, costing, and performance measurement.

Not-for-Profit Organizations and the Federal Government

Part III is a set of four chapters covering the unique accounting and financial reporting issues facing entities in the not-for-profit sector and a final chapter on accounting and financial reporting for the federal government. The governance and regulatory issues that a not-for-profit organization faces from the time of its incorporation through merger or dissolution, if any, are presented in [Chapter 13](#). [Chapter 14](#) provides detailed illustrations of the effect of financial transactions on the financial statements of not-for-profit organizations, much like [Chapters 3](#) through [8](#) do for state and local governments. [Chapters 15](#) and [16](#) present industry-specific accounting and financial reporting requirements for colleges and universities and health care organizations, respectively. [Chapter 17](#) focuses on the federal government, the largest provider of public funds, and introduces federal offices that interact with state and local governments and not-for-profit organizations in a variety of ways; for example, the Government Accountability Office (GAO) and the Office of Management and Budget (OMB).

A CAVEAT

The first edition of this text was written by the late Professor R. M. Mikesell more than 65 years ago in 1951. Some words of his bear thoughtful rereading from time to time by teachers and students in all fields, not just those concerned with accounting and financial reporting for government and not-for-profit organizations:

Even when developed to the ultimate stage of perfection, governmental accounting cannot become a guaranty of good government. At best, it can never be more than a valuable tool for promotion of sound financial management. It does not offer a panacea for all the ills that beset representative government; nor will it fully overcome the influence of disinterested, uninformed citizens. It cannot be substituted for honesty and moral integrity on the part of public officials; it can help in resisting but cannot eliminate the demands of selfish interests, whether in the form of individual citizens, corporations, or the pressure groups which always abound to influence government at all levels.¹⁹

Key Terms

[Accountability](#) 5
[Basic financial statements](#) 7
[Comprehensive annual financial report \(CAFR\)](#) 8
[Donor-imposed restrictions](#) 11
[Federal Accounting Standards Advisory Board \(FASAB\)](#) 5
[Financial Accounting Standards Board \(FASB\)](#) 3
[Fiscal accountability](#) 8
[Fund financial statements](#) 7
[General purpose governments](#) 2
[Generally accepted accounting principles \(GAAP\)](#) 4
[Governmental Accounting Standards Board \(GASB\)](#) 3
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Questions

- 1–1. Identify some differences between business organizations and government/not-for-profit organizations.
- 1–2. Using GP for general purpose government or SP for special purpose government, identify the following governments by type.
 - a. Stonington Village.
 - b. Lynnford Regional Library District.
 - c. Hillsborough County Independent School District.
 - d. Missoula, Montana.
 - e. Pulaski County Public Works District.
 - f. Hohenstein Township.
- 1–3. Which standard-setting bodies have responsibility for establishing accounting and reporting standards for (1) state and local governments, (2) business organizations, (3) not-for-profit organizations, and (4) the federal government and its agencies and departments?
- 1–4. The Beth House Museum is a nongovernmental not-for-profit organization. At the annual meeting, one of the new board members said, “I took a couple of accounting classes in college and we can choose to use either the FASB rules or the GASB rules.” Do you agree with the board member? Why or why not?
- 1–5. Explain the meaning and significance of *interperiod equity*.
- 1–6. Explain the purpose of *operational accountability* and the purpose of *fiscal accountability*. Which category of financial statements is most useful in reporting on each of these accountability concepts?
- 1–7. What is the primary financial reporting objective for not-for-profit organizations? How does this differ from the primary financial reporting objective for a government?
- 1–8. What are the three sections of a comprehensive annual financial report (CAFR)? What information is contained in each section? How do the minimum requirements for general purpose external financial reporting relate in scope to the CAFR?
- 1–9. Identify and describe the four sections of a federal department or agency’s *performance and accountability report*.
- 1–10. A not-for-profit organization is required to report expenses incurred for programs separately from management and general expenses and fund-raising costs. Explain who would use this information and why this separation matters.

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Cases

- 1–11. Research Case—GASB. (LO1-1)** Access the Governmental Accounting Standards Board website at www.GASB.org. Find the GASB White Paper on “Why Governmental Accounting and Financial Reporting Is—and Should Be—Different.” There are numerous differences between governments and for-profits in the accounting and reporting of financial transactions. Two accounting and reporting differences between governments and for-profit organizations relate to capital assets and major revenue sources. Using the information in the White Paper and your knowledge from your financial accounting courses (refer to a financial accounting textbook or the FASB website [www.FASB.org] if you need a refresher), discuss why there are accounting and reporting differences related to capital assets and the organizations’ major revenue sources (sales and property tax revenues).
- 1–12. Research Case—GASB. (LO1-2)** Examine the Governmental Accounting Standards Board website (www.GASB.org) and prepare a brief report about its mission, standard-setting process, and board composition, and the role of the Governmental Accounting Standards Advisory Council. Can you determine how to obtain a copy of the most recent *Codification of Governmental Accounting and*

Financial Reporting Standards? What would it cost to purchase or access this publication?

1–13. Research Case—FASB. (LO1-5) Access the Financial Accounting Standards Board website at www.FASB.org. Find the Accounting Standards Updates for 2016. In 2016 an update was issued related to financial reporting for not-for-profit entities. After reading the 2016 update, write a brief report that identifies how the standard changed reporting on each of the three required financial statements.

1–14. Research Case—FASB. (LO1-3) Concept Statement Four (accessible at www.FASB.org) discusses the concepts of stewardship and performance. Given that providing decision-useful information is the primary purpose of not-for-profit financial statements, what is the role of financial reporting relative to stewardship and performance? Write a brief report that provides your analysis.

1–15. Research Case—FASAB. (LO1-2) Examine the Federal Accounting Standards Advisory Board's website at www.FASAB.gov and prepare a brief report about its mission and structure and compile a list of organizations represented on its Accounting and Auditing Policy Committee. Can you obtain a copy of the full text of FASAB statements from this website? If not, how would you obtain a copy of a statement pertinent to federal agencies? What is the cost to purchase a statement?

1–16. Research Case—Federal Financial Reporting Objectives. (LO1-3) *Statement of Financial Accounting Concepts 1*, "Objectives of Federal Financial Reporting" at http://www.fasab.gov/pdf/files/handbook_sffac_1.pdf identifies accountability and decision usefulness as the fundamental values of federal governmental financial accounting and reporting. The statement identifies four groups of users to whom the government owes accountability and the possible needs of each user group.

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Required

Briefly describe the user groups, their needs for information, and how these tie into the four objectives of federal financial reporting identified in the statement.

Exercises and Problems

All applicable Exercises and Problems are available with *Connect*. 

1–17.

Examine the CAFR. (LO1-4) Download a copy of the most recent comprehensive annual financial report (CAFR) for a city of your choice. Many cities with 25,000 or more population provide Internet access to their CAFRs.* Familiarize yourself with the city's CAFR and reread the section in this chapter titled "Financial Reporting of State and Local Governments." Be prepared to discuss in class the items suggested below.

a. Introductory Section.

What has the city included in the introductory section of its CAFR? Does it include the items identified in the section of the text titled "Comprehensive Annual Financial Report"?

b. Financial Section.

- (1) *Audit Report*. Are the financial statements in the report audited by an independent CPA, state auditors, or auditors employed by the government being audited? Does the audit indicate that the financial statements were prepared in accordance with GAAP? Has the city received an unmodified audit report?
- (2) *Basic Financial Statements*. Does the CAFR contain both government-wide financial statements and fund statements? How many financial statements have been included as part of the basic financial statements section of the CAFR?
- (3) *Notes to the Financial Statements*. How many notes follow the required basic financial statements? Is there a phrase at the bottom of the basic financial statements indicating that the notes are an integral part of the financial statements?
- (4) *Other Supplementary Information*. Following the notes to the financial statements, does the CAFR provide other supplementary information, such as combining and individual fund statements?
- (5) *Management's Discussion and Analysis (MD&A)*. Does the CAFR contain an MD&A? If so, where is it located and what type of information does it contain?

- c. Statistical Tables.

What information has been included in this section of the CAFR?

1–18.Compare Financial Statements. (LO1-4, LO1-5) For this exercise refer to the Denver government-wide statement of net position ([Illustration A2-1](#)), the Denver government-wide statement of activities ([Illustration A2-2](#)), the Promote Health Association, Inc.'s balance sheet ([Illustration 14-1](#)), and the Promote Health Association, Inc.'s statement of activities ([Illustration 14-2](#)). Page 17

Required

- a. Compare Denver's statement of net position to the Promote Health Association, Inc.'s balance sheet. What are some similarities and differences in the statement formats?
- b. Compare Denver's statement of activities to the Promote Health Association, Inc. statement of activities. What are some similarities and differences in the statement formats?

1–19.Multiple Choice. (LO1-1 through LO1-6) Choose the best answer.

1. Which of the following is a special purpose government?
 - a. The State of Arkansas.
 - b. Greene County.
 - c. Minneapolis Public Schools.
 - d. City of Seattle.
2. Which of the following statements is true for both governmental organizations and for-profit organizations?
 - a. Lack of a profit motive.
 - b. Revenue may be earned through exchange transactions.
 - c. Absence of owners.
 - d. Resources are provided by individuals and entities that may not directly benefit from the use of the resources.
3. Which of the following statements regarding primary sources of accounting and financial reporting standards is false?
 - a. The GASB sets standards for all state and local governments.
 - b. The FASB sets standards for all business and not-for-profit entities.
 - c. The FASB and GASB are administered by the Financial Accounting Foundation.
 - d. The FASAB sets standards for the federal government and its agencies and departments.
4. James Black is reviewing his city's financial reporting because he wants to run for the city council. He is concerned that the city is not using its resources effectively. James is primarily interested in
 - a. Fiscal accountability.
 - b. Social accountability.
 - c. Political accountability.
 - d. Operational accountability.
5. The concept of *interperiod equity* refers to whether
 - a. Revenues equaled or exceeded expenses for the year.
 - b. Total assets (current and noncurrent) were sufficient to cover total liabilities (current and noncurrent).
 - c. Current year revenues were sufficient to pay for current year services.
 - d. Future taxpayers can expect to receive the same or higher level of services as current taxpayers.
6. What are the components that are included in the minimum requirements for general purpose external financial reporting? Page 18
 - a. Introductory section, financial section, and statistical section.

- b. MD&A, government-wide financial statements, fund financial statements, notes to the financial statements, and RSI.
 - c. Letter from the chief financial officer, government financial statements, notes to the financial statements, and RSI.
 - d. MD&A, government-wide financial statements, notes to the financial statements, and RSI.
7. Under GASB standards, financial information useful for assessing operational accountability is primarily reported in which financial statements?

	Government-wide Financial Statements	Fund Financial Statements
a.	No	Yes
b.	Yes	No
c.	Yes	Yes
d.	No	No

8. Which of the following is *not* a required section of a federal agency or department's performance and accountability report (PAR)?
- a. A performance section, which includes an annual performance report (APR).
 - b. An MD&A.
 - c. A basic financial statements section.
 - d. A statement of nonparticipation in political matters.
9. The basic financial statements of a not-for-profit include all of the following *except*
- a. Statement of financial position.
 - b. Statement of activities.
 - c. Statement of changes in functional expenses.
 - d. Statement of cash flows.
10. The *primary* reason that not-for-profit (NFP) organizations should report expenses incurred for program purposes separately from those for supporting services such as management and general and fund-raising is that
- a. GASB standards require it.
 - b. Program managers need information about the cost of activities for which they are responsible.
 - c. Top managers need to know how much they are spending for nonprogrammatic management and general support.
 - d. Donors, potential donors, oversight bodies, and others need to know what percentage of total expenses are being incurred for carrying out the NFP's programs.
- 1–20. Matching. (LO1-1, LO1-2, LO1-4, LO1-5)** For each characteristic, concept, or financial reporting requirement listed, indicate a Y for yes in the type of organization column if the item applies to that type of organization or N for no if it does not apply.

Characteristic, Concept, or Financial Reporting Requirement	State and Local Governments	Federal Government	Nongovernmental Not-for-Profit Organizations
Accountability is the foundation of financial reporting			
Management's discussion and analysis (MD&A)			
Performance & accountability report			
Stewardship is identified as a financial statement purpose			
A concern with budgetary compliance			
Absence of defined ownership interests			
Standards set by GASB			
Standards set by FASB			
Standards set by FASAB			
Standards focused on just external users of financial information			

1–21. Matching. (LO1-2) For each of the following entities, identify if the entity would be governed by GASB standards by placing a “G,” FASB standards by placing an “F,” or FASAB standards by placing an “FB.” (Hint: Search the website of the entity listed if you are unsure.)

Entity

- _____ 1. Your university
- _____ 2. Department of Defense
- _____ 3. American Institute of Certified Public Accountants
- _____ 4. The county in which you live
- _____ 5. Internal Revenue Service
- _____ 6. Mayo Clinic
- _____ 7. New York City
- _____ 8. American Cancer Society
- _____ 9. Metropolitan Washington Airports Authority (operates the Washington, DC, airports)
- _____ 10. The Metropolitan Museum of Art, New York City

¹ U.S. Department of Commerce, Bureau of the Census, *Government Organizations Summary Report: 2012*, http://www2.census.gov/govs/cog/g12_org.pdf.

² The National Center for Charitable Statistics, <http://nccs.urban.org/statistics/quickfacts.cfm>.

³ Financial Accounting Standards Board, *Statement of Financial Accounting Concepts No. 4*, “Objectives of Financial Reporting by Nonbusiness Organizations” (Norwalk, CT, 1980 as amended), par. 6. In 1985 the FASB replaced the term *nonbusiness* with the term *not-for-profit*. Other organizations use the term *nonprofit* as a synonym for *not-for-profit*. The term *not-for-profit* is predominantly used in this text.

⁴ Governmental Accounting Standards Board, *Concepts Statement No. 1*, par. 18. *Codification of Governmental Accounting and Financial Reporting Standards as of June 30, 2017* (Norwalk, CT, 2017), Appendix B.

⁵ Financial Industry Regulatory Authority, *Regulatory Notice 13-17*, “GASB Accounting Support Fee,” April 2013.

⁶ GASB, *Codification*, Appendix B, *Concepts Statement No. 1*, par. 56.

⁷ *Ibid.*, par. 61.

⁸ GASB *Codification*, Sec. 2200.102.

⁹ The definition of *fund* is given in Chapter 2. For now, you can view a fund as a separate set of accounts used to account for resources segregated for particular purposes.

¹⁰ GASB *Codification*, Sec. 2200.104–193.

¹¹ For a view of the introductory section, as well as the other sections of the CAFR, you may wish to look at the City

and County of Denver, Colorado's CAFR at https://www.denvergov.org/content/dam/denvergov/Portals/344/documents/CAFR/2016_CAFR.pdf. Portions of Denver's CAFR for 2016 are included for illustrative purposes in various places in this text.

¹² The FY 2016 Financial Report of the U.S. Government can be viewed and downloaded at <http://www.fms.treas.gov/fr/index.html>.

¹³ Financial statements included in the U.S. Government's Consolidated Financial Report are comparative statements of net cost, statements of operations and changes in net position, reconciliation of net operating cost and unified budget deficit, statements of changes in cash balance from unified budget and other activities, balance sheets, and statements of social insurance. See Chapter 17 for more information about these statements.

¹⁴ FASB ASC 958-205-05-3.

¹⁵ Ibid. 958-205-05-5.

¹⁶ Ibid. 958-205-45-6.

¹⁷ Ibid. 958-205-05-6.

¹⁸ FASB, *Concepts No. 4*, par. 51.

¹⁹ R. M. Mikesell, *Governmental Accounting*, rev. ed. (Homewood, IL: Richard D. Irwin, 1956), p. 10.

* You can usually access a city's CAFR by doing a search on "City of (name)" and looking for a link to the city's departments. At that link, select Finance Department or a department with a similar function, such as Accounting and Budgeting, and look for "Financial Reports" or similar link.